

COST OF MONEY BEING IDLE

**Rs 1 lakh in
savings account**



**Interest earned in 1 year:
Rs. 3500 (@ 3.5% p.a.)**



Total: Rs. 1,03,500



**Tax on Interest: Rs. 1081.50
(@ 30.9%)**

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**Impact of Inflation: Rs. 5000
(assumed @ 5% p.a.)**



**Value at end of 1 year:
Rs. 97,418**

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The above workings are for illustration purposes only and are based on prevailing taxation laws. Tax liability of 30.9% is calculated assuming individual investor falls in the top income tax slab of 30% & includes applicable cess. In case of individual nature of tax implications, Investors are further advised to consult their tax advisor before making investments. Source for savings a/c interest of 3.5% p.a. is www.rbi.org.in

PLEASE NOTE: Inflation rate of 5% p.a. is an internal assumption. The actual average annual inflation rate is 6.03% for last 5 years from 2004 to 2008 based on WPI (source: <http://eaindustry.nic.in>).